

CP 2015 Table 2A. Predictive regressions of rx_bar

Regressor	(1) Yields	(2) Yields+tau	(3) y1,ybar	(4) y1,ybar,tau	(5) c1,cbar
y(1) or c(1)	0.54 (0.99)	0.51 (1.07)	-0.37 (-1.77)	-0.89 (-4.03)	-0.61 (-3.28)
y(2)	-2.61 (-2.05)	-0.74 (-0.85)			
y(4)	4.92 (1.32)	-0.25 (-0.14)			
y(5)	-4.33 (-1.38)	-1.72 (-1.17)			
y(9)	9.25 (3.37)	9.52 (3.26)			
y(10)	-7.62 (-3.24)	-6.40 (-2.51)			
tau^CPI		-1.21 (-5.04)		-0.81 (-2.71)	
ybar or cbar			0.50 (2.11)	1.42 (4.25)	1.06 (3.52)
R2_bar	0.22	0.49	0.13	0.30	0.24
Wald	27.43	74.64	6.54	19.65	12.41
Wald p	0.000	0.000	0.038	0.000	0.002
Rel.prob.(BIC)	0.82	1.00	0.80	0.89	0.86

LHS: duration-standardized, maturity-averaged excess return rx_bar_{t+1} . US, 264 obs (1990m1-2011m12).
Cells: coefficient (Newey-West HAC t-stat, 18 lags). Rel.prob.(BIC) = $\exp((BIC_best - BIC_i)/2)$; best model = 1.00.